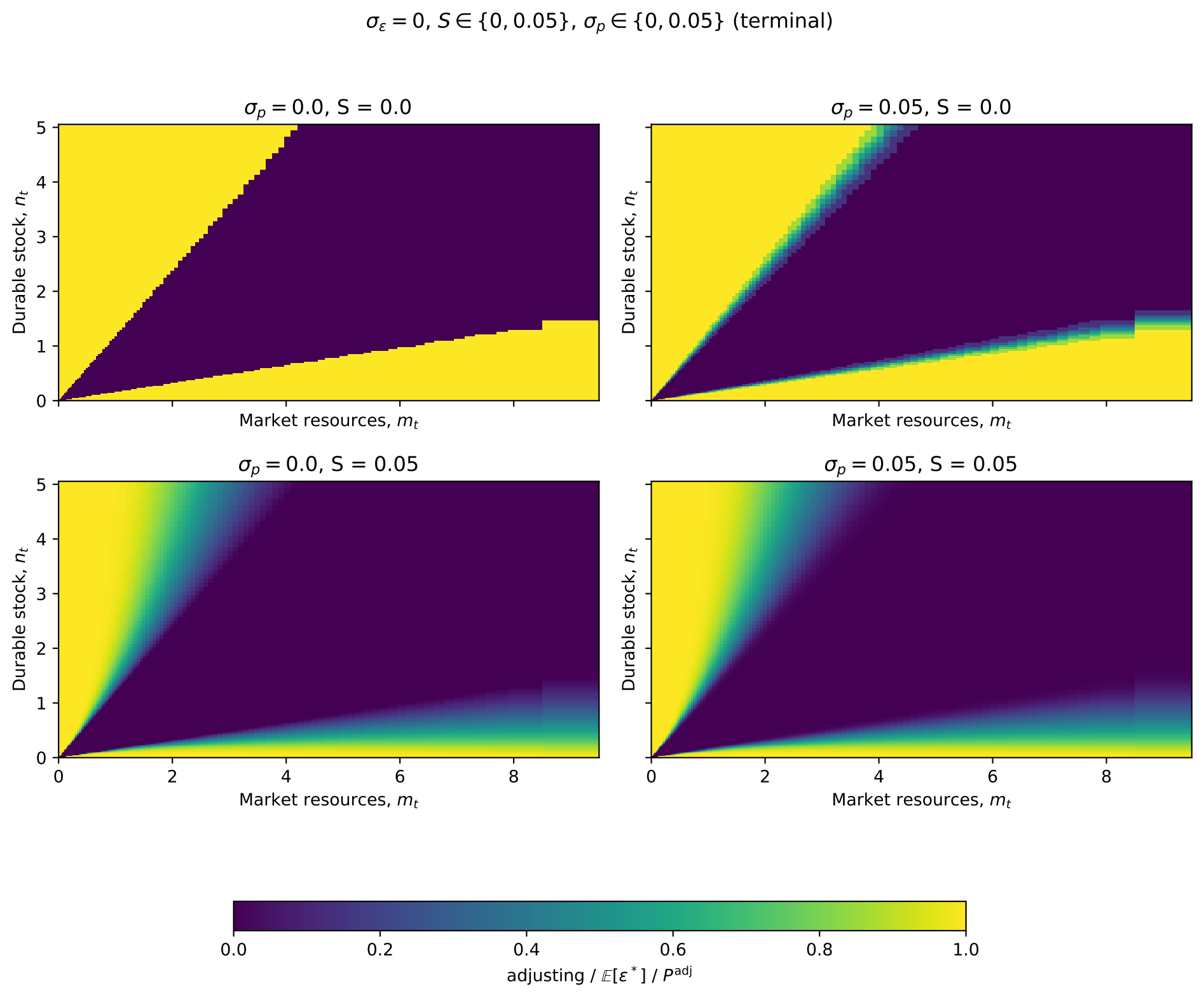

$\sigma_\varepsilon = 0$, $S \in \{0, 0.05\}$, $\sigma_p \in \{0, 0.05\}$ (terminal)
$\sigma_p = 0.0$, S = 0.0
$\sigma_p = 0.05$, S = 0.0
$\sigma_p = 0.0$, S = 0.05
$\sigma_p = 0.05$, S = 0.05
Durable stock, n_t
Market resources, m_t
0
1
2
3
4
5
0
2
4
6
8
0.0
0.2
0.4
0.6
0.8
1.0
adjusting / $\mathbb{E}[\varepsilon^*]$ / P^{adj}